

Political Economics

Date: 25-09-23

⇒ Why is it different from main stream economics?

⇒ Globalization — Economic globalization
Cultural globalization →

Free market:

→ cheaper foreign good (customers)

→ variety of choices for the customers

→ Export → RMG → Foreign currency → Fabric, Yarn, Chemical, Cotton, (China) (China)
↓
কম-খরচ
কম-সময়
↓
Employment
Women's empowerment

News report

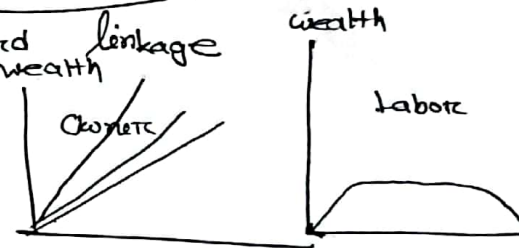
↑

Raw mat (করাচের কাপড়)
↓
Spinning mill

Cap spinning mills. RMG to Backward linkage
↓
নান্দিতা সেক্স

→ কাম নান্দ, কাম কতি?

- We have to be critical



⇒ Why political economy is different from mainstream economics?
— Mainstream economy is more methodical, number biased, black & white → positive, which challenges normative and ethical situations in the real world.

⇒ Globalization

— Cultural & Economic globalization

Exchange of media,
food, social media,

Export starts the economic globalization

- Free market (withdrawing trade barriers)
 - For cheaper foreign goods
 - For variety of choices

— Free market has its drawbacks as foreign goods enter the market local goods (and the economy surrounding the product) gets face challenges.

— Economic : Export (RMG)

Bright side

Earning foreign currency
Employment
Women Empowerment

Opposit

backward linkage industry
import of raw materials
loses foreign currency
polarization of income
corruption & money drain

Ref: Reading Materials will be provided.

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ing Returns.

, Middle East, Japan

, India, Vietnam, Africa

ies demand might sink.

→ try to grow at the same time

we need to increase production.

→ increase factor of production
the same strategy there will be
capacity.

country export more than domestic
ped country?

domestic demand is not fixed, so we can
lowering ^{avg} cost of production. But as cheap
cases in the market local producers
protectionism policy (high tariff). so it's not
more than domestic demand of the importer

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* Diminishing Returns to Export Led Growth

02.10.23

Export Led Growth Model

- Employment creation, 40 lac
- Foreign currency
- Technology transfer

But the export led growth has diminishing returns.

The problem of export led growth:

① - Export market is very limited

Importer: USA, EU, Canada, Middle East, Japan

Exporter: China, Bangladesh, India, Vietnam, Africa

- The ~~export~~ importer countries demand might sink.

② - All the exporter countries try to grow at the same time to increase growth we need to increase production. To increase production $\rightarrow$ increase factor of production. If every exporter try the same strategy there will be excess industrial capacity.

③ Can a developing country export more than domestic demand of a developed country?

- As the ~~demand~~ domestic demand is not fixed, so we can export more by lowering ^{avg} cost of production. But as cheap cost products increases in the market local producers demand protectionism policy (high tariff). So it's not easy to export more than domestic demand of the importer country.

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New Development Paradigm (Export led growth) (Page - 2 & 3)

Thomas Palley's arguments on the problems of export led growth:

- ① Export Displacement
- ② Declining terms of trade/financial instability
- ③ Race to the bottom
- ④ Autonomy

① Export displacement:

— highly competitive market so one country can only grow by displacing other country's export.

Ban vs. Vietnam: If BD lower cost it can displace Vietnam.

Export displacement can also be influenced by political/infrastructure situation of the industry & country.

② Race to the bottom: one developing country is rivals of another developing country. The competition is actually among the workers/labors of the countries.

Multinational importer corp. are shifting their importers from one countries to another based on lower wage & lower requirement.

Why only try to minimize the cost by lowering wage?

- no/not strong backward linkage industry.
- the price of imported raw material is out of hand so only wage is the way.

labor law increases the production cost, so MNCs try to shift towards the countries with low to no labor law.

To get labor law established → production cost can be nullified from the huge profit of the company owner.

Environmental Regulation (ETP and other standards) increases production cost. So MNCs try to target the countries with lower
- Exploitation of child labor →
Pakistan's soccer industry was dependent on child labor but after the ban of child labor, the industry shifted to Odisha & Bihar of India.

③ Dealing terms of trade/financial instability: 9-10-23

All the countries try to export the same product. Global market is flooded with too much of the same product, which result in surplus supply and decrease in export price. So the country try to produce more to maintain the same revenue from export. Excess industrial capacity → from to much investment on production. That causes too much public money stuck on these investment which causes financial instability.

④ Autonomy: Dependency on export. Export led development depends on the demand of the developed countries. Financial crisis in the west might affect the export. Bangladesh export market limited to only a few center of growth like USA. If we could spread our center of growths, then we could avoid the risk of financial crisis impact from on export.
→ quality of development

Trusted

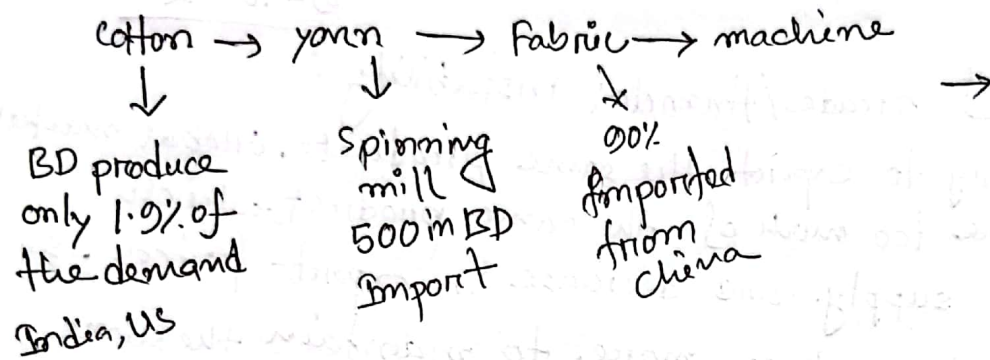
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Quality of Development from export led growth:



For RMG:



Risk of import based backward linkage (weak linkage)

1. If production falls (Climate etc)
2. no control over price
3. Import of raw materials is increasing
4. Losing Foreign currency due to import

Why are we not giving importance to BD's domestic industries?

Tant, Jute, sugar industry (domestic linkage)

Leather industry (strong backward linkage)

Trade and Development Report 2013 (UNCTAD)

UNCTAD → Market oriented approach, Alternative way is not there.

World Bank, IMF → Market oriented

→ Page-7:

⇒ Export-led growth strategies are reaching their limits

⇒ Rebalancing domestic and external forces of growth

Alternative way of development we should consider.

⇒ External forces of growth vs Domestic forces of growth

↓ Problems

1. Growth is slowing down/continued

slow growth in rich country

(Example: Production rich

country is target for rich

resources are stuck in RMC)

↓ Bangladesh/Vietnam

2. Poor linkage with domestic economy.

→ Raw material: Example: Leather

Example: India for overlook leather.

↓ Jeans + T-shirt + sweaters

Cotton wool.

↓ Africa, China

(Raw material dependency)

1. Export economy has good linkage with domestic economy.

(Example: Leather)

Example: India → Leather → leather processing → leather good

2. Domestic demand based growth

↓ Labor

→ Labor wage must increase:

UNCTAD → Export industry's wage focuses on the cost aspect.

But domestic industry → focuses on the income aspect of wage labor.

* If income rises →



जो ० वरुन ३९-१६% raw material बारीह-हाल-आल।

↓
प्रकार अमर्या LE open काले पाण्डे वा काले Dollar अङ्गठे।
आमर्य काले raw materials आकले परे अमर्या रल बा।
उर-मर्या industry - Jute, Leather, Sugarc.

< RMB को १० percent आस,
हुवा १० percent आस Article
को maintenance जर दिने रल >

3. Race to the bottom - अमर्या

दास offer कल रल काले
अलक Competitor lower

Suppressed wage lower lower environmental standard to offer cheap product.

* suppressed wage → Impact

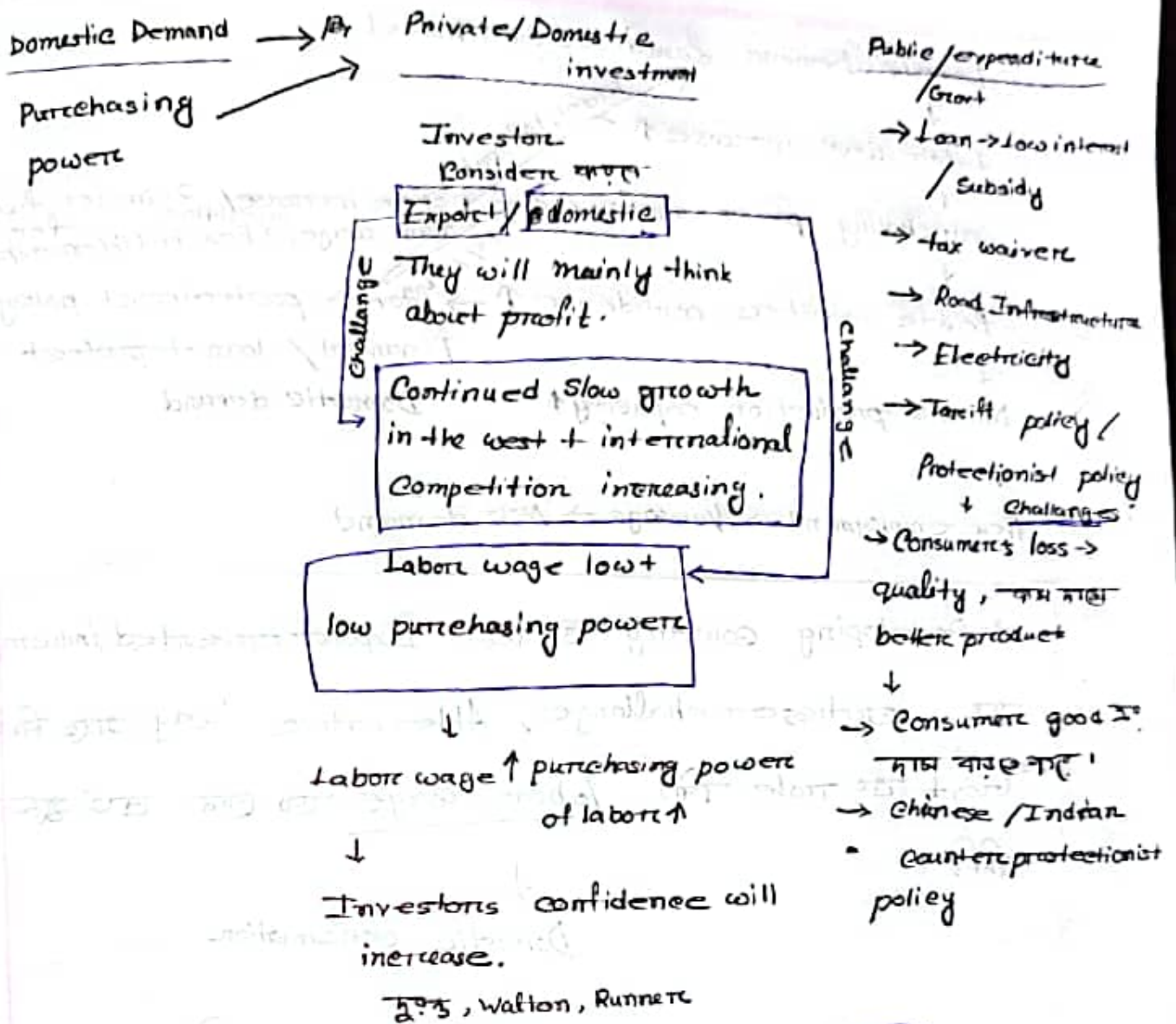
→ Consumption low
→ $\frac{3}{4}$ of population → labor/ workers
 $\frac{3}{4}$ of the aggregate demand

→ Gas Higher Demand
→ Consumption high → House hold consumption
Food → Staple Food, Processed food
↓
biscuit, Maggi Noodles, Powder milk

Electronics → Smart phone
Fridge, Rice cooker, Labor ↑
Water Installation
Upper middle class

→ Demand will rise
→ Domestic production capacity.
→ New employment
→ New wage → New Demand

Alternative way of development:



* डेवलपमेंट विकल्पों: आर्थिक - व्यावसायिक - सामाजिक

Question

Formal Sector

Formal production

RMB, बिजली कार, छात्र

Call centers

Bus, train, plane

Employed → Jute, Sugar industry

→ Wage increase
→ Minimum wage

Govt
Role

Informal sector

कृषि, उद्योग, आर्थिक

→ Govt subsidy:

Direct fiscal transfers

VGF, TCB, OMS, कॉर्पोरेट

→ Rural

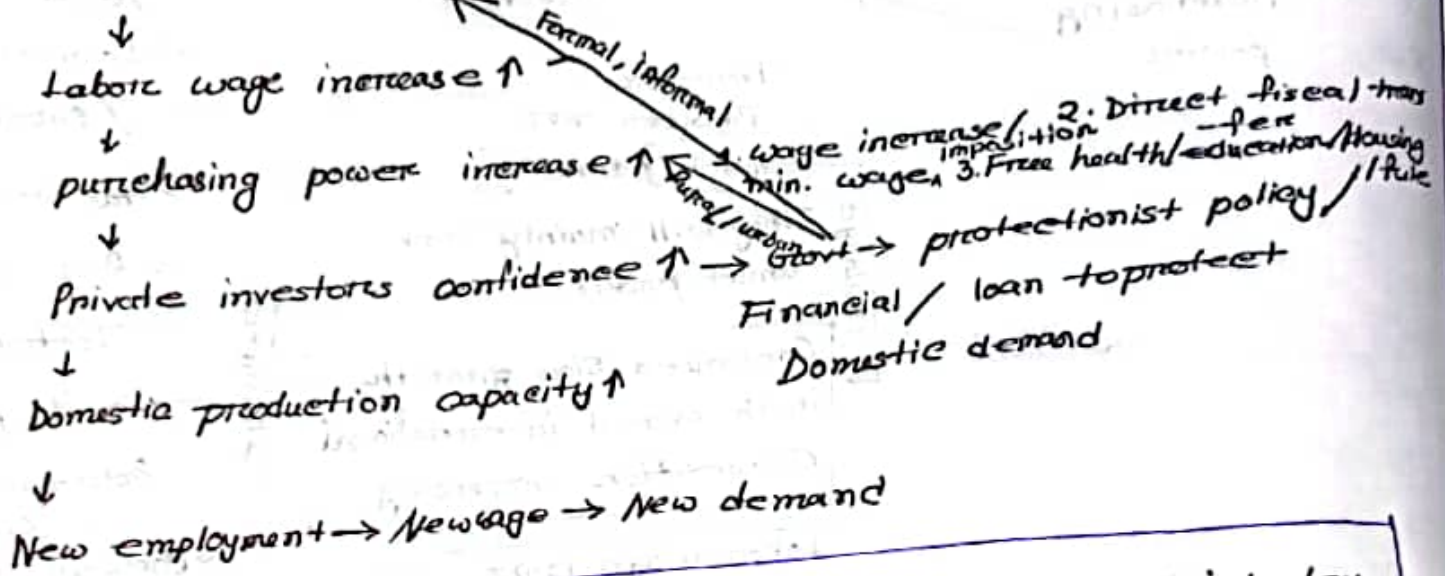
Fertilizer
seed

Irrigation
pesticide

Urban

Housing
Tenure law
Medical
Education

Domestic Demand Based Growth Model



* Developing country এর ক্ষেত্রে Export oriented industry
 এর চ্যালেঞ্জ, Alternative way আছে কিনা,
 Govt এর role কি? labor wage কে কেন বৃদ্ধি
 দিচ্ছে?

↓
 Domestic consumption

* Domestic Demand বাহ্যিক চ্যালেঞ্জ কি?

Date: 18-11-23

" 11/12 December → Probable Tutorial "

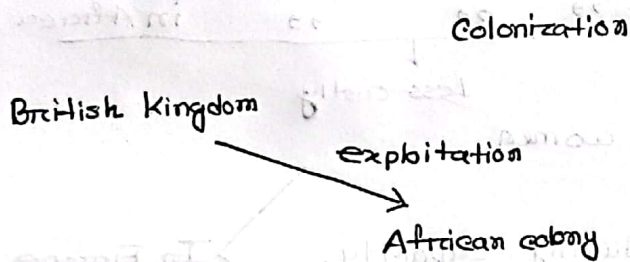
Cash Crops Vs Food Crops in Africa

~~His~~
Cash Crop

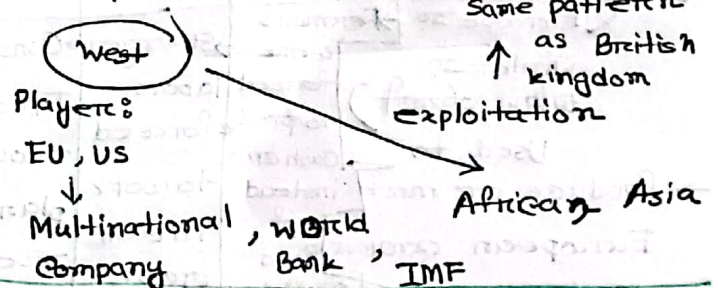
Jute, Cotton, Rubber,
Tea, Tobacco, Sugarcane,
Coffee, Groundnut,
Cocoa

Food Crop

- Pre colonization Africa
- Colonized Africa
- Post colonization



Post colonization



Question

* How does this entire exploitation mechanism repeats in Post colonization period

Ans: This is another type of Neo-colonization.

Pre Colon

Pre colonization :

- Self sufficient in food production → slave trade ~~or~~ ^{before 1600}
- sophisticated techniques
- Adequate food security - self reliance
- Storage of surpluses
- Trade around food availability

Colonization:

300 years of slave trade. 100 million slaves. ~~were taken~~

1. African slaves working in European plantation in Europe/Us.

2. " " " " " " in Africa.

1. Slave :

Strong bodied men and women

Less costly

→ Population reduction

→ Disrupted food producing capacity.

→ Reduced food production

In Europe

Role of the colonial state

Page 41

Land	Food	Labor	Infrastructure	Low price extraction → High price selling
(Europe to Africa) Winter to summer Used to → Produce or meet European consumer need → Capture the most fertile land cash crop	Peasants were forced to produce cash crops instead of food crops. → Food patterns changed	Strongest labor force forced to work in cash crop. → state organized the	Construction of Infrastructure around cash-crop plantation. → Senegal to Mali built the railway through the ground nut field.	1930 → West Africa → Peanuts brought from peasants at low price selling to British market at a seven times higher price.

Corn, maize, rice
, Vage
↓
Rubber, tea,
Coffee, Cocoa
Sugarcane,
Cotton

Flow of migra-
tion according
to plantation
area.

Why Food Security → Sub-Saharan Africa
 मासम 2.2.1, 2.2.2, 2.2.3

2.2 Impacts of food security

2.2.1

2.2.3

848, 850, 852 → Page

848 - 852 → Page

2.2 50's का पड़ना → Impacts of Colonialism on food security
 50's का पड़ना → Reduced Food production, loss of traditional sources of nutrition, Inequality within community.

→ Reduced Food Production: → Farmers preferred to grow ~~Reduce~~ edible food but forced to grow non-edible food.

⇒ Household land was diverted to export crop.

⇒ Rural to urban migration increased, Colony → Urbanization.
 More pressure on Rural Farmers, → Food shortage

→ Loss and replacement of traditional sources of nutrition;
 Monocropping → No pulse, no vegetable, no fruit, no grazing
 No supplementary diet, Less nutrition.

→ Inequality within commodity: Landlord, Local influential elite → rises.

⇒ Land capture ⇒ Provision of loans at higher interest rate 50 to 100%.

⇒ Advance payment, repay after harvest → Debt Trap

⇒ Local farming community lost capacity to control their own resources

Cash Crops Vs Food Crops (आहार (लक्षणाएँ) व नकदी)

Post Colonization: (Page 92)

→ Political structure changed

→ Economic structure continues.

→ Cash crop economy continues and keeps expanding.

Example: Senegal → 55% of arable land → Groundnuts

Ghana → 50% " " " → Cocoa

1976 Kenya → 50% " " " → Coffee

80's Rwanda Burundi Ethiopia → 70% → Coffee

9 countries → 70% of foreign income coming from 1 export crop.

→ Economic impacts:

* Price decline:

→ More and more countries are trying to produce same export crops (Coffee, tea, nuts, cocoa)

Too much supply → price decline in international market → price continues to drop

* 2. Deterioration of Terms of Trade: Price of Agriproduct is falling → Africa. West → Manufactured product (Tractor)

60's → 1 tractor → 3-ton Banana.

70's → 1 " → 11-ton "

Somalia → 30% export earning from Banana.

60's → 3 tons of rubber → 6 tractor

70's → 3 " " " → 2 " "

3. Impacts of foreign currency; loss of foreign exchange

Total loss of foreign exchange:

WWII → After WWII → total loss of foreign currency →

all foreign bond/loans/investment/Aid → (tot higher loss)

total loss of foreign bond/loan/investment

→ cycle of underdevelopment.

4. Import Dependency: Drought hit: → Food shortage

→ import good: Export earning + Dollar loan / Foreign loan.

↓
Declining price → Diverting more land for more export production → more price declining

In 1984 in the passage

African debt increased 130

billion.

④ Question: Impact of the continuation, How africa become a food insufficient country?

④ Post colonial & reverse कर्ना ना?

Multinational company ↓

← MNC व. presence व. कारण, agreement

व. जल हानि आवा: food crops & switch करे पाएनि।

* क्या Africa लग रहे हैं कि cash crop आए?

Class-8

4-12-23

Page-40

Pre colony

Self sufficiency

Page-41

Colonization

Role of the state

→ Land

→ Food Pattern

→ Labor

→ Infrastructure

→ Low price extraction

Page-848-850, 852

Impact of state

crop Policy on food Security

→ Reduced food production

→ Loss of Nutrition

→ Inequality

Page-42,43

Post Colonization

Impact of export crop policy / continuation

→ Surplus production

→ Price decline

→ Foreign exchange loss

→ Determination of terms of trade

Timor vs Banana

→ Import dependency

Loan-Debt (Example)

→ More export

Role of State

Page-43,44

→ The role of African state: (Post colonization)

Kenya → More loan / credit

more Advice on pesticide / Fertilizer

more marketing Batch up

Tanzania → 1980 Agri sector received

→ 3.5% less in development

→ Budget than previous year

→ 80% of state → large scale farming projects.

→ Increasing dependency on foreign input

→ Technology

→ Fertilizers

→ Pesticide

Import
Depends
on Euro
markets

→ Tanzania Rural Development Bank

→ Loans to small farmers reduced → 1970 → 6.7% ↓ ; 80s → 1% ↓

→ Loans to big companies → 70s → 6.1% ; 80s → 10.7%

→ 78-79 → Agricultural input loan → 61% goes to Tobacco.

How Bangladeshes Shrimp policy industry is driving a Fishwater crisis

1. → How land pattern changed?

2. → " Food " "

3. → " Employment " "

4. → " Environment is affected?

5. → Who Benefits / who loses,

// কৃষক জমি হারান চায় না কারণ - জমি থেকে তার Earning থেকে Future আয় থাকে। জমি হারান সে টাকা পায় তা অনেক কিছুদিলে নয় (অর্থ হয় যদি কিছু জমি Generation হলে পর Generation বীধ থাকে) //

1. Land 'area' 337000 He
276000 He-late > 81% of total land of southern
east.

2. Principle paddy → rice/vegetable → ~~fish~~ large scale shrimp
cultivation → Saline water praverivation → ~~water~~ reaches into surrounding
land farming land → forced to sell land or forced to cultivate shrimp.
→ After 10 years of shrimp cultivation of, agricultural ~~and~~ no
longer possible.

3. Farmers losing/selling land.

→ Migration → male members

→ Labor → Shrimp firm → Factory/processing
→ Supply chain
→ Transport
→ Ice factory
→ Packaging

4. Largest source of fresh water: Ponds/Ground water.

→ Too many saline firms

→ Spreads into fresh water

→ Saline water contaminating Ponds.

→ Fresh water scarcity

→ Drinking water dependency on market (40 times expensive
than capital)

5. Big Businessman, Exporting company, Local influential, &

→ Foreign currency

→ ~~Big~~ ~~Businessman~~ Foreign currency ~~which~~ ~~control~~ ~~the~~ ~~market~~ - ~~Food~~ ~~crop~~ ~~which~~
Cash crop ~~which~~ ~~for~~ cultivate ~~which~~ (shrimp) just like Africa.
(Export)

Land pattern (Page: 96)	Food/Agric Pattern (P 89-90)	Employment P (92-95)	Low price Extraction High price selling (P 88-91)	11-12-23 Opportunity Cost - फार्मास्यूटिकल प्रयुक्त/पहला कृषि P (89)
→ Pre colonization?			→ कृषि एवं	→ चीन एवं
→ Colonization.			→ नीम एवं आयुर्वेद (92)	→ ११ दादा
				→ वधार् उद्योगिक एवं आयु
				→ ११ ११ एवं
				→ ११ ११ वाद

- Land Pattern: → ~~অসুবিধা~~ Most fertile lands → $\frac{1}{3}$ land was taken (Bengal)
- Jessore → 80% Post colonization → চিংড়ি 81%
- Food/Agro Pattern: → Pre colonization → multiple cropping → ধান, কলাই, মরিচা
- ⇒ Post colonization → monocropping → Indigo → ① shortage of food production
- Employment: → Forced labor → শ্রমদাস
- Low price Extraction, High cost selling: ⇒ কৃষকঃ খণ্ডে ৪ জনি, কৃষকঃ
খাম ২/৩ জনি, কৃষকঃ মুক্তি ১/২ জনি ⇒ নীলকণ্ঠ মাছ ৮ জনি, Huge profit in european market.
- ⇒ প্রত্যেক ৬ জনিঃ বীজের খরচ → ৫ জনি (opportunity cost)
বীজের দাম → ৭ " "
মাছ → ২ " "

कवाइ उ अणिया जाउ → ७ वरि ७ पाइ

बौल ठाय कपास बौल छातीं विद्या प्रतिकृति ८७ पन्थि ।

ਜੀਨ vs ਚਿੰਟਿ

Land food

- land → Africa ^{আফ্রিকা} অথবা Oshenop
বাংলাদেশে একটি region তাহা food
Crisis হয় নি।

✓ (Food Pattern) → Post or Pre War Colonization, shortage of agro production, internal trade, Food production no shortage शर्त Food supply बाह्य → Transportation.

✓ Employment → Post → (જોડાણ કરી દયાન, internal migration, કિડિ હાથે) variables of employment → પ્રતીય અસંતી કિડિ

સાને સંક્રમણ હાથે કાળે હાથે કાળે Big businessmen / Company
Foreign currency માટે Big businessman / Company → Local people
સંક્રમણ માટે ના.

✓ Low price extraction → કિડિ કાળે (exploitation wage)

Question: Comparative analysis between indigo vs Shrimp
India vs Africa

④ Exam: ① રજા Economist

② Africa

③ ગીલ

④ Shrimp

18 • કિડિ Exam.

Origins of The food Crisis in India and Developing Countries.

⇒ European Countries depend on 'colonies' agriculture:

→ Winter → lack of fertile land

⇒ Euro consumption depended on colony's tropical land / Fertile land.

* "THE HUMAN FOOD ANIMAL FEED COMPETITION"

Political economy of global meat production.

→ Global demand for meat is rising (Newly emerging / middle east / East Asia → Malaysia, Indo)

1. Emergence of middle class (income rising)

2. Urbanization 3. Processed food

(Restaurants rising)

↓

Meat based Menu

↓

Demand for meat rising

* Where do they source their meat from?

Brazil, Australia, USA, India, Argentina, Newzeeland, Canada.
↓
Odd

Land Limit (Population & Growth)

Question

* Indian govt. is officially promoting meat export. What is the problem with that? Is it good or bad?

India → Official policy → export meat → 1st largest buffalo meat exporters. What is the problem? Cost here produces more zero

↓
The issue of grazing land. → (20 years back) No need for extra grass → (Now) Industrialization/urbanization → Grazing land diminishing → No/Little grass available → Grazing land is replaced by stall feeding → Extra cost to buy feed (Problem) (आटा, अंडा, दूध, दही)

Economy of feed

1. One kg beef requires → 7 kg feed
2. " " poultry meat " → 2 kg feed.
3. 1 kg milk " → 0.2 kg "

↓
Requires too much land for producing feed.

Question

How does it affect food/grain pattern?

The forms of grain consumption:

1. Direct grain consumption → आटा, कुचि, Cake, Biscuits, पाउचरि, गिर्ला, चिज़, ब्रूडि.
2. Indirect grain consumption → जंक, मूजि (meat), milk, egg

With rising meat consumption:

→ Rising indirect grain consumption → who → Urban / high income / restaurant going elite.

Problem → किन्तु उच्च-आवा. ग्रामिन वर्ग आ, अ-ब्रह्म consume नहीं.

1. Market system

- * বাংলাদেশে অল্প হাজারের অধ্যা বৃদ্ধি
- * বেশিমান হাস চাষ করে লাভবান

interact

↓
দাম, অন্যান্য সুযোগ ও দাম চিকিৎসা পাওয়া

↓
Urbanization → মাংস Demand বৃদ্ধি কারণ

- * বীজ দাম চিকিৎসা পাওয়া কিছু বেশিমান হাস U Company বা আলাদা কোম্পানি Contract করে রাখে → Risk কম → ক্ষয় কম

Bangladesh → 1 মিলি Cost of হাস → 20,000/- Selling → 20,000/-

অনেক জানেন
Question and Ans: কৃষক বীজ চাষ করে গিয়ে
যে অগ্রিম বহু অনেক subsidy দিচ্ছে। যেমন india-
govt. direct বীজ কিনে বিক্রি করে Particular Price ও।

Economy
Political liberalization of Free trade / Trade liberalization

Date: 5-02-23

→ Free flow of goods :

1 → Elimination / Reduction of tariff / custom duty

2 → Quota restriction

3 → Elimination of duty on raw materials .

→ Protectionist policy :

1 → Impose tariff / custom duty

2 → Subsidy to local producers

Q: "Free trade benefits all" - Do you agree with this statement?
 (long-run)

⇒ प्रवाह local producers वा कमजोर रहे किन्तु दीर्घकाल local producers वा will learn to compete एवं inefficient producers वा market out हल गाल।

4 के benefits :

1. ~~Access~~ Access/availability of products local producers do not produce at all. Example: Some specific types of medicine, Industrial machinery (Capital), Submarine.

2. Access to high quality products local producers produce but low quality. Example: Car, Electronics (Japanese), Cosmetics. Winner - ^{High income} Consumer, loser - local producers trying to produce high quality products (Waltton), Indian share.

3 Availability of luxury good local producers produce less. Example: Car (BMW, Porsche, Mercedes, Audi) > Winner - high income consumers, loser - Foreign currency outflow (everybody)

4. Availability of cheaper good local producers produce but at a higher price (Chinese/Indian charger/light) > Winner - Consumer Loser - local producers.

⇒ Conflicting goods:

1. High income consumers [High income consumers বা যদি - ভারতীয় foreign goods and services ভা. প্রতি আমদানি হয় foreign currency outflow বাহা যা আন consumer ভা. জন্য ক্ষতিকারক]
2. Low income consumers
3. Local producers/industry (Existing) [Consumer is only stuck with one choice that is local product in protectionist policy]
4. Potential local producers

Y. Im "Role of the state"

1. To protect local producer/industry → creating large number of employment:

Policy 1: To subsidize provide subsidy → (Financial) Fund/loan/credit free loan/preferential credit, Research and development

Policy 2: ~~Protect~~ Impose Tariff/higher custom duty

Policy 3: Elimination of import duty on raw material. (Cotton, yarn, Fabrics)

- ⇒ Problems:
1. Tariff war: If you impose tariff on Chinese goods China will reverse the action.
 2. It kills competition → no incentive to improve quality + labor price (স্বা)

// Impose duty on Indian Yarn: Bangladeshi textile exporters
Urge govt //

\$8 billion domestic textile industry

- ① Why BTMA asked for import duty? → Local millers selling price
- ② Why indian yarn is cheap? → Indian imported yarn
- ③ If BD impose duty on indian Yarn should the indian millers worry?

- ② 1 Highly subsidized by indian govt
- ① Unsold stock piles → subsidized

250-290 per kg

Demand 1% to 10% → cash increase

- ④ i) \$280-290 per kg — (85%) local producers
- ii) \$ 2.60 — 2.70 per kg

importers sector group → RMG → knitwear, woven → Exporters (B&MEA)

- ③ Interest group: BTMA, CMAI India

high trade deficit → Export \$500 million Import \$7 billion

* Historical protectionist policy

2.22 → USA

American independence 1776

British colony → market open → British consumer good
flooded in the U.S. market

Alexander Hamilton

Infant industry argument → protectionist → I need to protect
local new industrial from competition.

Page 25, 26

America কান কান করে ফিডাল to protect করে।
এটা কারণ

1820 $\rightarrow$ 40% Bangladesh $\rightarrow$ 17

producer & consumer

Page-26

Southern interest : Agro based, cotton plantation, sugar base

based, clothing $\rightarrow$ wool + cotton.

→ Prefers protectionist policy, Northern industry will be hurt by British clothing → High quality, low price.

→ Initially north, south ~~दो~~ ^{दो} protectionist policy ~~करते~~
But ~~पहले~~ southern ~~ने~~ ^{ने} ~~का~~ ^{का} ~~कारण~~ ^{कारण} ~~आकर~~ ^{आकर} industrial expansion
रह ~~गया~~ ^{गया} ~~कि~~ ^{कि} Northern ~~ने~~ ^{ने} ~~करा~~ ^{करा} ~~low quality, high price~~

মতঃ। Southern consumers get hurt by high ~~quality~~ low price in tariff. Access to high quality, low price grade imported goods decreased.

→ Wage based workers এর job security হারান Northmen এ।

→ British producers → Revenue and profits decline, southern এর cotton এর demand কমে যায়। Cotton import from USA decline → Southern producers loss.

Government ইহা কাঃ interest কে Priority দিবে?

Northmen এর, কারখানা ও industry expand করতে পারবে।

Compensation mechanism বিতঃ পাবে

Mercantilism : 15th & 16th century

① Maximize export →

② Minimize import → import substitution industry (ISI) of finished good

③ Destroy foreign competition

→ Elimination of ^{duty on} raw materials, ~~tariff~~

→ Ban/high tariff on foreign finished goods

→ Duty drawback on raw material
— Importing raw material with duty but after utilization, get refund of that duty paid.

→ Elimination of tariff on raw material

→ Export subsidy to silk, refined sugar & gun powder industry

→ Elimination of tariff on exporter of manufactured good,

* Mercantilism → capitalism → colonization for trade → use of military force

→ Force other countries to open market for british good.

→ force " " " raw materials

→ Ban import of other countries similar products.

*** British colonization in india

— cotton producing, indigo farming, demolition of 'hand' industry
building railway to lobby huge volume of cotton from india to britain

Trusted

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Page: 20 Britain (1500-1600) → raw wool exporter → next 100 years → wool manufacturing industry clothing:

- raw wool from sheep
- Then send to netherlands / Belgium (low countries) as Britian had no skill/industry to produce cloth

To become a manufacturing country they needed

1. skilled worker → bringing from low countries
2. Export tariff on raw wool to stop exporting.
3. state subsidy to manufacturing facility.

History of 'Tant' industry of Bangladesh

- The conflict of GRI
- The import of indian fabric in BD
- The migration of Tanti to india

when the industry becomes stable enough to compete:

1. Ban on raw wool export

5. Wool manufacturing countries collapse.

6. Countries were forced to by british manufactured wool clothing.

Wool Act of 1699: complete Ban on colonies wool products/ clothing

Free Trade in Agriculture

→ Criticism of WTO: serves on the interest of rich

- started in 1995

- Uruguay Round (1986): before this there was no free trade policy before this. After this round the policy of free trade becomes under the circle agreement.

→ Characteristics of free Trade: (The promise of free Trade)

1. Fair competition betⁿ countries

2. Demand will rise → more export possibilities

3. Consumer will pay less → Consumer will have more choice in agroproduct market.

4. Comparative Advantage → (production will shift to the most efficient producers in the world)
criticism: food security can be threatened due to calamities or disasters.

5. Farmers displacement due to ComAdv. → They will move to the industrial sector.

→ The displaced/released labor from agriculture will shift to the manufacturing sector which will absorb the agro labor
 — This is a sign of development as industrial sector will flourish

6. Private Sector (company) gets in the space and creates monopoly so the small agro producers will not be able to compete with them. (Poultry Sector of Bangladesh:

একটি প্রাইভেট কোম্পানি পোল্ট্রি খেতান দখল করে নেয়)

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The reality of

Rules of WTO to ensure free trade:

1. Ensuring market access
2. Reduce export subsidy / Domestic subsidy / support
3. Reduce govt. holding of food stock. involved private sector
 - By reducing tariff
 - Rich countries should have access to poor countries agro market and vice versa.
 - if it will reduce the price of the production, poor countries farmers will be unable to compete with highly subsidized products of the rich countries.
 - Reducing govt. holding of food stock, so that import/Trade become necessary & WTO promotes trade.

The Reality of free Trade

Market access is ensured

1. Tea, coffee, sugar, cotton, nuts, banana's - These products were already trade openly for 100 years. developed countries needed these for their food processing industry. Developed countries have no domestic production of these products. So There is no new market access for developing countries. Developing countries have to accept greater quantity of import. Local producers cannot compete with low price.
 - " " will not have any incentive to produce
 - (dairy products in BD).

- Oligopoly: the market gets controlled by 2-5 firms controls 80% of the world open commodity market Case 2
- This was 1950-1970. Loss of open commodity for oil price had to respond Case 3

Milking the poor

Problem of Cheap import

Root of problem:- EU subsidies.

Agreement on agriculture:-

- ① Market ~~Access~~ Access.
 - ② Reduced tariff.
 - ③ Reduction of Export Subsidy
↳ phase out.
 - ④ Domestic support.
 - ⑤ Reduce govt controlled storage of food
- not allowed Domestic subsidy:- → Trade distorting

Seed, Fertilizer, Pesticide, Preferential credit

↳ input subsidy / production related subsidy

Non-production subsidy: → Allowed green box

↳ heavily used in EU

- ↳ Types:-
- ① Disaster relief
 - ② Research and development
 - ③ Training

- ④ easy loan
- ⑤ safety net program
- ⑥ payment, food stamp, medical, housing

Green box $\rightarrow$ Insight 4As [net jpy]

$\rightarrow$ Trade Distorting AT,

Domestic Subsidy $\rightarrow$ p. STM AT,

$\rightarrow$ production cost low $\rightarrow$ more
cheaper product will flood the

market that will hamper fair
competition. Developing or 3rd world
countries will hurt. Higher production
~~intensive~~ incentives to farmers $\rightarrow$ more production

$\rightarrow$ more production.
 $\rightarrow$ This will affect world market
price.

~~rotax = 1 million = 10 b = 1 crore~~
~~1 = 1~~

Types:

- ① Single payment $\rightarrow$ 56 € per year.
- ② High import tariff $\rightarrow$ phase out
- ③ Direct intervention to buy farmer's output.
 $\rightarrow$ production incentive $\rightarrow$ might be trade distorting.
- ④ Safety net support program.
 $\rightarrow$ 600 million € to dairy farms.
- ⑤ Export subsidy $\rightarrow$ 1996-2006 $\rightarrow$ 1.8 billion.

Arla food $\rightarrow$ is heavily subsidized.

Export subsidy and arla food:-

€ 280 million

43000 dairy farmers $\rightarrow$ € 9.8 million

2010 Danish Economic Council

$\rightarrow$ European subsidy.

$\rightarrow$ leading to higher level of production
If no subsidy Danish agri production
would fall.

Export subsidies → lower milk prices

- ① Single Farming Scheme
- ② Higher output target - 1000-1500
- ③ Direct intervention in milk price - 1000-1500
- ④ Export target - 1000-1500
- ⑤ Export target - 1000-1500
- ⑥ Export target - 1000-1500
- ⑦ Export target - 1000-1500
- ⑧ Export target - 1000-1500
- ⑨ Export target - 1000-1500
- ⑩ Export target - 1000-1500

The Problems of cheap imports

The problems of cheap imports

* The roots of the problems: EU studies

* Dairy farming → Important

- local dairy production: 2018 → 90 लाख টন, 2022-23 → 1 লাখ 30 হাজার
- Demand for milk → 1 লাখ 60 হাজার টন - 2022
- Shortage: 30 लाख টন

Arguments for free trade in dairy sector local in BD

- Underdeveloped dairy sector → production cannot meet current demand.

Consumers:

- | Availability options | Feasibility | Price |
|--|---|---|
| <ul style="list-style-type: none"> → Urban demand → preference for milk powder for children → preserve facility | <ul style="list-style-type: none"> → Urban families care about quality | <ul style="list-style-type: none"> → Price of milk powder was cheaper than local dairy |

Producers Perspective: 70s → Milk Vita → Cooperative society → Milk
 vita para Very important end 1970s → 15 million liters
 80s → 3 " "

Over subsidies EU milk powder flooded the market

- Unfair competition → ^{Imported} Milk powder was selling 1/3 price of local dairy
- " " " " at 20% lesser than European market (dumping) → দ্রুত market

দ্রুত কাজ agenda.

Local producer's perspective:

- Consumers will prefer cheaper imported
- Reduce price for local production
- Can't reduce price less than production cost
- Loss of incentive to produce dairy

* Role of Government

70s-80s → low income countries took protectionism policy.

→ 75% → 5% tariff

→ 46% tariff → Milk powder

- Subsidy → 1996 → Govt. eliminated direct subsidy → Only milk vit. subsidy ~~प्राप्त करता है~~ → low interest loans + grants. But small and medium local producers will not be able to compete w/ govt milk vit + program/program
- input subsidy is a good option → food, medicine

Dairy sector's contribution to GDP → 2.7%. ; Budget allocation - less than 10 times.

* ARB food sub. subsidy का → 2006 पर्यंत 1 billion Euro subsidy.

* Dairy production में प्रमुख बाधाएँ शक्ल

Modernization theory

08-05-24

40s, 50s → Decolonization

→ Africa + Asia ex colonies must follow two footsteps of the west

A poor country must undergo a transition to become modern rooted in capitalism

Rostow's stages of growth

- 1) Primitive society
- 2) Preparation to take off
- 3) take off
- 4) Drive to maturity
- 5) Mass consumption

1) Primitive society

Farming + Barter trade
Valuing real production
No Bubble no waste
no overvaluation of property

2) Preparation to take off

Surplus production
→ Trade
→ Currency
→ Transport infrastructure
→ Saving or invest
→ Concept of Bank

3) take off

→ Industrialization
→ shift from agro to manufacturing

4) Drive to maturity

Economic diversification
export

5) Mass consumption

→ High standard living or
→ Domination of service sector
like hotel, restaurant, tourism, fast fashion
Digitalization, Financialization

Modernity treatment

Critics of modernization theory

- 1) Too theoretical + oversimplified → assumes a development linear model
- 2) ~~oversimplified~~ view of social change
- 3) → overlapping, You can't categorize a development model into 5 groups.

African society invest equally in agro, manuf + tourism

R 2) Oversimplified view of social change

1) Agro, 2) Trade, 3) Industry 4) Modernity 5) MC

Displacement of farmers

loss of land

rural to urban migration

These changes are always resisted by farming communities - not desirable

2) Industrialization requires power plant / coal mining ~~not just~~
environment + health problem

Rostow's Growth Stage

1. Primitive Society
2. Prep to take off
3. Take off
4. Drive to maturity
5. Mass consumption

Review. (Previous class)

- Problems -
- (i) oversimplified
- linear model
 - (ii) social change

3. Deculturation of values

4. Changes should be initiated externally.

5. Role of Technology

6. Eurocentric

7. Role of Foreign Aid

⇒ Africa/Asia will modernize by following western academic curriculum

⇒ poor country's education system is designed by the ex colonial masters (Britain).

⇒ Impact! neglect/rejecting endogenous knowledge

⇒ Agrarian society ⇒ Agro to industry

⇒ Agri land is declining

Deculturation

Changes should be initiated externally (page 67)

Policy design → WB/IMF/ADB

Critique - a. Top down Elitist Approach.

b. Poor is never the centerpiece of the development model.

c. No participation of community

d. Policies are made / Drafted in the west and sent to Africa/Asia.

e. privatization.

Eurocentric - development based on European demand

- Bangladesh Garments → U.S + Euro demand centric.

Role of Foreign aid

It is the responsibility of the west to develop Africa/Asia by giving aid.

→ Aid is not free. Africa received billion of dollar of aid. 1994 → 80 billion dollar.

→ Africa still very poor. Why? (Post colonial africa - trade cycle - reasons)

→ foreign currency outflow

food crop → cash crop → import dependency

foreign currency outflow →

[how much
currency outflow
from South Africa?]

Role of technology

Tech plays the most important role in development

Marx: The difference between ~~rich~~ ^{modern} and poor countries are ~~technology~~ and ~~international development~~ purely technological

Page - 66 - discussion on Rostow's Model

67 -

and division of

labour.

Africa → supplied raw material → Tea
coffee + copper, Aluminium, steel.

Europe + America → Manufacturers.

Africa → Tea, coffee, copper, steel, aluminium
Europe → food processing, cars, aircraft.

low valued product

high valued product

why Africa cannot produce aircraft?

→ no access to technology.

YouTube - Ghana Grows Cocoa, so why
can't it make chocolate?

Dependency Theory

Modernization theory's critique, dependency theory's counter, Discontent with modernization theory.

1. Prep of take off → take off → historical process → colonization
 ↓
 resource + free extraction.

Developing model ~~अलग एक~~ Model follow ~~एक~~ Developed ~~रा~~
 because of this historical context of colonization.

It is impossible to understand the problems of africa or other countries without considering the historical context of colonization.

Underdevelopment is not an original state rather it is a result of systematic economic capture of resource by the west.

2. Human-capital outflow continues → 15th-16th
3. West decides the level of development for poor countries.
4. Regional inequality will increase.

2 → 15th-16th african slaves were shipped to europe plantation → it continued even after colonization, later slavery → Brain drain.
 1999 → S.A lost 25% of its graduates.

3 → too little development → limits the surplus value ^{profit} produced in poor countries
 Senegal to mali, India ~~trunkway~~ → helps resource extraction.

Bangladesh → Roads, ports, transport → Benefit MNCs → Trade
 Power plant electricity

Too much developed → Threats the dominant position of the west, Japan
 former colonies → independent + enough sufficient capital + tech
 → capital loan → technology

4. Modernization theory: Inequality is a temporary feature of world system.

Dependency theory: Inequality between rich country and poor country always grow/ more likely to increase than decrease

Because developed world has inherited advantageous position.

✓ Africa / poor countries → suppliers of low priced products / Raw mat.
→ west → suppliers of high valued products.

Critique of Dependency Theory (Rich Vs Poor West Vs colony)

1. China, Vietnam, Japan, Malaysia,

2. Role of post independent govt? Role of corruption?

High military Budget, Political conf.

* Is it all external influence?

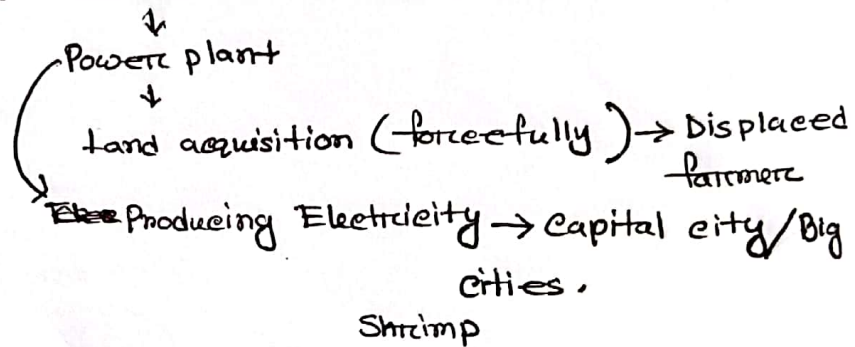
Edi Amin, Jacob Zuma, Mugabe

↓
Highly corrupted leaders.

3. Third world ruling - leaders/elites serving the purpose of the west → African govt. policy was to encourage cash crops → to western MNCs, West → cheap supply coffee/cocoa → MNC → profit

4. Multistaged Dependency → Rural Vs Urban, Rural Vs Rural
शहरी शहरी

Urban Vs Urban



Counter critique

संरचनात्मक ढंग से यह सब switch करके पाए जा सकते हैं।
Dependent already.

* Modernization theory and its critique

* Dependency " " " " and its counter critique.

⇒ It's not binary / I agree to some extent.

1 July exam

Washington Consensus (1990)

24.06.24

Context :- 80's debt price crisis (oil price was very high)

- poor countries were unable to pay for fuel/gas/oil
- Dollar crisis (foreign reserve declines)
- WB & IMF started to give loan with a list of conditions/policies attached.
- conditionality → structural/adjustment reform.
ଅନୁସ୍ଥାନ ସଂସ୍କରଣ
- Main Policy philosophy : Free market.

Policies/conditions :

BD context :

- ① Fiscal Discipline : Budget
- BD holds large budget deficit
 - Washington Consensus condition is reduction of this deficit budget. i.e. increase revenue & cut spending.
- Revenue: Vat/Tax, Foreign loan, Domestic Aid
- Spending: Edu, health, administrative, military, infrastructure development, social, safety net
- Why? How? motive behind Argument & impact on crisis

To ~~spend~~ reduce spending → cutting down the spending on Edu, health, Agriculture → which lead to privatization of health/Edu sector. Which lead to poor people to suffer. WB/IMF only targets to reduce spending on basic sector but not on military & infrastructure.

↓
Western war crafts | military machines needed to be sold.

Foreign MNC builders, consultancy & Foreign loan ^{with interest} is needed to build infrastructure, which is profitable to WB & IMF.

② Trade Policy : Open Market → Remove restriction from foreign import. → let in Int. MNCs which leads to & hurt our infant domestic industry which needs protection like high tariff.
* Dairy, electronic

③ Privatization : Sell state owned industries to private firms.
— Stop subsidizing state-owned companies from tax/vat, as they are not profitable & add to more govt. spending.
— 2020's BD's 26 Jute mill / 9 sugar mill (state owned) got closed
— Which lead to unemployment of a large amount of people related to the industry both directly & indirectly.
— After privatization majority of these companies are foreign MNC's handled & they are taking dollar profit to their country. (Dollar outflow) Repatriation of profit.

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